

Module 6

Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Workings for consolidated statement of profit or loss and other comprehensive income for the year ended 30 June 2020

	SUL HK\$	GRL HK\$	Dr HK\$	Cr HK\$	Group HK\$
Sales revenues	(923,000)	(732,000) ⁵	43,000		(1,612,000)
Cost of goods sold	<u>414,000</u>	<u>311,500</u>		40,850 ⁵	<u>688,250</u>
		⁸	3,600		
Gross profit	(509,000)	(420,500)			(923,750)
Other revenues	(110,500)	- ⁴	60,000		(34,500)
		⁹	16,000		
Share of profit or loss of associates	-	-		50,000 ⁸	(50,000)
Other expenses	<u>460,700</u>	<u>264,900</u>		7,000 ¹	<u>718,600</u>
Profit for the period	(158,800)	(155,600)			(289,650)
NCI share of profit or loss	<u>-</u>	<u>-</u> ⁷	32,090		<u>32,090</u>
Profit or loss to parent's owners	<u>-</u>	<u>-</u>			<u>(257,560)</u>

Workings for consolidated statement of financial position as at 30 June 2020

	SUL HK\$	GRL HK\$	Dr HK\$	Cr HK\$	Group HK\$
Land	-	1,260,000			1,260,000
Property, plant, and equipment	1,270,000	589,000		190,000 ¹	1,669,000
Accumulated depreciation	(655,000)	(288,000) ¹	134,000		(809,000)
Investment in Great Limited	1,620,000	-		1,620,000 ³	-
Investment in Top Limited	125,000	- ⁸	46,400		155,400
				16,000 ⁹	
Inventory	430,300	271,000		2,150 ⁵	699,150
Receivables	182,000	133,000			315,000
Patent	-	- ²	340,000		340,000
Goodwill	-	- ³	102,500		102,500
Total assets	<u>2,972,300</u>	<u>1,965,000</u>			<u>3,732,050</u>
Current liabilities	(59,100)	(42,300)			(101,400)
Non-current liabilities	(158,900)	(46,600)			(205,500)
Total liabilities	<u>(218,000)</u>	<u>(88,900)</u>			<u>(306,900)</u>
Retained earnings 1/7/19	(670,000)	(378,000)		7,000 ¹	(714,000)
		³	330,000		
		⁶	11,000		

	SUL HK\$	GRL HK\$	Dr HK\$	Cr HK\$	Group HK\$
Profit for the year	(158,800)	(155,600)			(257,560)
Dividends paid	114,500	75,000		75,000	114,500
Retained earnings 30/6/20	(714,300)	(458,600)			(857,060)
Share capital	(1,600,000)	(1,137,500)	3 1,137,500		(1,600,000)
General reserves	(440,000)	(280,000)	3 280,000		(440,000)
Non-controlling interests	-	-		500,000	3 (528,090)
			4 15,000		
				11,000	6
				32,090	7
Total equity	(2,754,300)	(1,876,100)			(3,425,150)
Total equity and liabilities	(2,972,300)	(1,965,000)			(3,732,050)

The following journal entries are not required by the question

(1) Revaluation of plant of GRL on acquisition (plant has been depreciated for two years)

DR	Accumulated Depreciation – Plant	HK\$120,000	
DR	Business Combination Valuation Reserve	HK\$70,000	
CR	Plant		HK\$190,000

DR	Accumulated Depreciation – Plant	HK\$14,000	
CR	Depreciation Expense*		HK\$7,000
CR	Opening Retained Earnings*		HK\$7,000

* Depreciation adjustment per year = HK\$70,000 / 10 years

(2) Unrecorded patent of GRL on acquisition (indefinite useful life)

DR	Patent	HK\$340,000	
CR	Business Combination Valuation Reserve		HK\$340,000

(3) Elimination of investment in GRL

DR	Share Capital	HK\$1,137,500	
DR	General Reserves	HK\$280,000	
DR	Opening Retained Earnings	HK\$330,000	
DR	Business Combination Valuation Reserve	HK\$270,000	
DR	Goodwill	HK\$102,500	
CR	Investment in Great Limited		HK\$1,620,000
CR	Non-controlling Interests		HK\$500,000

- (4) **Elimination of intra-group dividend**
- | | | | |
|----|---------------------------|------------|------------|
| DR | Dividend Income | HK\$60,000 | |
| DR | Non-controlling Interests | HK\$15,000 | |
| | CR Dividend Paid | | HK\$75,000 |
- (5) **Elimination of unrealised profit in intra-group inventory transfer (upstream)**
- | | | | |
|----|----------------------------------|------------|------------|
| DR | Sales | HK\$43,000 | |
| | CR Cost of Goods Sold | | HK\$40,850 |
| | CR Inventory | | HK\$2,150 |
| | HK\$(43,000 – 43,000/1.25) x 1/4 | | |
- (6) **NCI share of retained earnings in GRL (from acquisition date to beginning of current year)**
- | | | | |
|----|---|------------|------------|
| DR | Opening Retained Earnings | HK\$11,000 | |
| | CR Non-controlling Interests | | HK\$11,000 |
| | HK\$(378,000 – 330,000 + 7,000 depreciation adjustment) x 20% | | |
- (7) **NCI share of current year profit or loss in GRL**
- | | | | |
|----|-------------------------------------|------------|------------|
| DR | Income to Non-controlling Interests | HK\$32,090 | |
| | CR Non-controlling Interests | | HK\$32,090 |
| | HK\$(155,600 + 7,000 – 2,150) x 20% | | |
- (8) **Share of profits of TOL (associate) in the current year**
- | | | | |
|----|---|------------|------------|
| DR | Investment in Top Limited | HK\$50,000 | |
| | CR Share of Profits of Associate | | HK\$50,000 |
| | HK\$(130,000 – 5,000 ^a) x 40% | | |
-
- | | | | |
|----|------------------------------|-----------|-----------|
| DR | Cost of goods sold | HK\$3,600 | |
| | CR Investment of Top Limited | | HK\$3,600 |
| | HK\$9,000 ^b x 40% | | |
- Notes:
- ^a Adjustment for depreciation per year on revaluation of machine at the acquisition date:
HK\$35,000 / 7 years
- ^b Adjustment for unrealised profits of inter-entity sales: HK\$(90,000 – 90,000/1.25) x 1/2
- (9) **Share of dividends of TOL (associate) in the current year**
- | | | | |
|----|------------------------------|------------|------------|
| DR | Dividend Income | HK\$16,000 | |
| | CR Investment in Top Limited | | HK\$16,000 |
| | HK\$40,000 x 40% | | |

Answer 1(b)

SUL is eligible for adopting the HKFRS for Private Entities based on the following reasons:

- SUL did not have public accountability:
 - Its equity instruments were not traded in a public market;
 - There was no evidence that SUL was in the process of issuing equity instruments for trading in a public market; and
 - SUL's primary business (sales of electronic products) was not to hold assets for a broader group of outside parties in a fiduciary capacity.
- SUL publishes general purpose financial statements for external users (mainly regulators). (*HKFRS for Private Entities* Section 1.1-1.4)

In a group context,

- A parent assesses its eligibility to use the HKFRS for Private Entities in its separate financial statements on the basis of its own status without considering whether other group entities have (or the group as a whole has) public accountability.
- If a parent does not have public accountability, it may present its separate financial statement in accordance with the HKFRS for Private Entities even if it presents its consolidated financial statements in accordance with the full HKFRS. (*HKFRS for Private Entities* Section 1.6-1.7)

Answer 2(a)

Dendron Limited
Statement of Cash Flows for the year ended 31 March 2020

	<u>HK\$'000</u>	<u>HK\$'000</u>
<u>Cash flows from operating activities</u>		
Profit before tax	3,000	
Adjustments for:		
Depreciation charge (W1)	2,258	
Loss on sale of property, plant and equipment (498–324)	174	
Interest expense	400	
Operating profits before working capital changes	5,832	
(Increase)/decrease in inventory (3,300–3,800)	500	
(Increase)/decrease in trade receivables (2,150–1,550)	(600)	
Increase/(decrease) in trade payables (950–600)	350	
Cash generated from operations	6,082	
Interest paid (1,100+400–1,200)	(300)	
Dividends paid (1,750+2,000–3,200)	(550)	
Tax paid (2,025+1,000–2,250)	(775)	
Net cash from operating activities		4,457

	<u>HK\$'000</u>	<u>HK\$'000</u>
<u>Cash flows from investing activities</u>		
Payments to acquire property, plant and equipment (W2)	(3,886)	
Payments to acquire long-term investments (1,000 – 0)	(1,000)	
Receipts from sale of property, plant and equipment	324	
Net cash used in investing activities		(4,562)
<u>Cash flows from financing activities</u>		
Repayment of long-term loan (4,025+820–2,900)	(1,945)	
Net cash used in financing activities		(1,945)
Net increase/ (decrease) in cash and cash equivalents		(2,050)
Cash and cash equivalents at 1 Apr 2019		1,450
Cash and cash equivalents at 31 Mar 2020		<u>(600)</u>

Analysis of cash and cash equivalents

	31-Mar-19	31-Mar-20
	<u>HK\$'000</u>	<u>HK\$'000</u>
Cash	1,300	50
Cash equivalents (short-term investments)	650	800
Bank Overdraft	(500)	(1,450)
	<u>1,450</u>	<u>(600)</u>

W1 – Depreciation charge

	<u>HK\$'000</u>
Accumulated depreciation at 31 March 2019	16,250
Accumulated depreciation on assets sold (756 – 498)	(258)
Accumulated depreciation at 31 March 2020	<u>(18,250)</u>
Depreciation charge for the year	<u>(2,258)</u>

W2 – Purchase of property, plant and equipment

	<u>HK\$'000</u>
Cost at 31 March 2019	26,950
Revaluation	1,350
Cost on assets sold	(756)
Cost at 31 March 2020	<u>(32,250)</u>
Purchase using long-term loan	820
Purchase using cash (balancing figure)	<u>(3,886)</u>

Answer 2(b)

The statement of cash flows is useful in evaluating the financial strength of an entity, yet the statement can exclude significant non-cash transactions that materially affect the financial position of an entity.

Examples of non-cash transactions include:

- (a) the acquisition of assets either by assuming directly related liabilities or by means of a finance lease;
- (b) the acquisition of an entity by means of an equity issue; and
- (c) the conversion of debt to equity

HKAS 7 addresses this problem by way of disclosure.

According to paragraph 43 of HKAS 7, entities must disclose investing and financing transactions that do not involve current cash flows.

Such non-cash investing and financing transactions shall be disclosed elsewhere in the financial statements (e.g. notes to the financial statements)

in a way that provides all the relevant information about these investing and financing activities.

Answer 3

Carrying value before impairment = HK\$5,700,000

Recoverable amount = HK\$5,320,000

Total impairment loss = HK\$5,700,000 – 5,320,000 = HK\$380,000

First, impairment loss of HK\$170,000 will be allocated to goodwill.

Then, impairment loss of HK\$210,000 will be allocated to other assets on a pro-rata basis as follows:

	Carrying values before impairment HK\$'000	Impairment loss allocated ¹ HK\$'000	Carrying amount if fully allocated HK\$'000	Reallocation ² HK\$'000	Actual loss allocated HK\$'000	Carrying values after impairment HK\$'000
Goodwill	170	(170)	-	-	(170)	-
Land	2,450	(103)	2,347	53	(50)	2,400
		$= (210 \times 2,450 / 5,000)$				
Property, plant and equipment	1,820	(76)	1,744	(38)	(114)	1,706
		$= (210 \times 1,820 / 5,000)$				
Capitalised development expenditure	730	(31)	699	(15)	(46)	684
		$= (210 \times 730 / 5,000)$				
Net current assets	530	-	530	-	-	530
Total	5,700	(380)	5,320	-	(380)	5,320

Notes:

1. The impairment loss is allocated to reduce the carrying amount of the assets of the CGU in the following order:
 - First, reduce the carrying amount of any goodwill allocated to the CGU (i.e. HK\$170,000 in this case);
 - Second, reduce the carrying amount of other assets of the CGU on a pro-rata basis. The net current assets are not included when pro-rating the impairment loss as they are outside the scope of HKAS 36.Therefore, the impairment loss is allocated on a total basis of HK\$5,000,000 (HK\$2,450,000 + HK\$1,820,000 + HK\$730,000).
2. Only HK\$50,000 (not HK\$103,000) is allocated to Land because the impaired value cannot be lower than the recoverable amount of HK\$2,400,000.

In this case, HK\$38,000 ($\text{HK\$53,000} \times \text{HK\$1,744,000} / (\text{HK\$1,744,000} + \text{HK\$699,000})$) is reallocated to property, plant and equipment and HK\$15,000 ($\text{HK\$53,000} \times \text{HK\$699,000} / (\text{HK\$1,744,000} + \text{HK\$699,000})$) is reallocated to capitalised development expenditures.

Answer 4

Profit attributable to ordinary shareholders:

= Profit after tax – dividends on preference shares

= HK\$15,560,000 – 600,000 x HK\$200 x 8% x (1 – 16.5%) = HK\$7,544,000

Basic Earnings Per Share:

= HK\$7,544,000 / 4,200,000

= HK\$1.80

Dilutive effect of options:

Additional shares issued for no consideration*

= 900,000 - HK\$25 x 900,000 / HK\$36 = 275,000

Check dilutive effect of convertible preference shares:

Stand-alone EPS for the convertible preference shares

= $[600,000 \times \text{HK\$200} \times 8\% \times (1 - 16.5\%)] / [600,000 \times 5]$

= HK\$8,016,000 / 3,000,000

= HK\$2.67

which is higher than the basic EPS HK\$1.80, so it is anti-dilutive

Diluted Earnings Per Share:

= HK\$7,544,000 / (4,200,000 + 275,000)

= HK\$1.69

*Note:

Each dilutive option is effectively being regarded as constituting both of the following (HKAS 33.46):

- One contract for ordinary shares issued at average market price, which are not included in the denominator to measure diluted EPS. This is because these ordinary shares are assumed to be fairly priced and to be neither dilutive nor antidilutive. As such, entities can ignore them in the calculation of diluted earnings per share.
- One contract for ordinary shares issued for no consideration, which are not included in the denominator to measure diluted EPS. These ordinary shares generate no proceeds and have no effect on profit or loss attributable to ordinary shares outstanding, and as such, they are dilutive.

Answer 5(a)

Investment in the shares of LUL shall be measured initially and subsequently at fair value in accordance with HKFRS 9.4.1 as they are not a financial asset with contractual terms which give rise on specific dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The gain or loss arising from the fair value change shall be recognised in profit or loss. However, since the investment in shares of LUL is not held for trading (but for long term strategic purpose), and it's the company policy to avoid volatility in profit or loss, UPL should elect to present gains or losses on that investment in other comprehensive income.

Answer 5(b)

Equity investment in LUL

Journal entries for initial recognition of investment on 1 May 2019:

Dr	Equity Investment (FVOCI)	HK\$10,390,000	
	Cr Cash		HK\$10,390,000

(Fair value of HK\$10,350,000 plus transaction cost of HK\$40,000)

Journal entries for fair value change for the year ended on 30 April 2020:

Dr	Other Comprehensive Income	HK\$220,000	
	Cr Equity Investment		HK\$220,000

(HK\$10,390,000 – HK\$22.60*450,000 shares)

Answer 5(c)

During the year ended 30 April 2019 financial year, no significant increase occurred in the credit risk of the bonds, and consequently, UPL would have classified the bonds within Stage 1 of the expected credit loss model, with a loss allowance of HK\$10,000 representing the 12-month expected credit losses.

For the year ended 30 April 2020, since there was a significant increase in the credit risk of the bonds (downgrade of LUL's credit rating), the bonds were classified within Stage 2 of the expected credit loss model and would have a loss allowance equal to the lifetime expected credit losses of HK\$35,000.

For the year ended 30 April 2020, UPL would recognize an impairment loss in profit or loss for the amount of the expected credit losses that was required to adjust the loss allowance to the amount required to be recognised at the reporting date. Therefore, an amount of HK\$25,000 (HK\$35,000 – HK\$10,000) would be recognised as an impairment loss by UPL in profit or loss for the financial year ended 30 April 2020.

* * * END OF EXAMINATION PAPER * * *